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PREAMBLE

THE SECURITIES ADMINISTRATORS listed in the Appendix 2:

CONSIDERING that the securities markets play a fundamental role in the raising of funds, the allocation of resources and the financing of enterprises and public entities;

CONSIDERING that the securities markets allow the offer of a wide selection of financing instruments to enterprises and to public entities, and a wide choice of investment instruments to investors;

RECOGNIZING that the domestic securities markets are increasingly being integrated into a global market;

WISHING that, by this integration, the securities markets provide, at the international level, the benefits derived at the domestic level;

WISHING development of securities markets at both the domestic and international levels to be guided by a constant concern for investor protection;

BELIEVING that the best means to achieve these aims is by fostering consensus;

RESOLVE:

to cooperate in developing, implementing and promoting adherence to internationally recognised and consistent standards of regulation, oversight and enforcement in order to protect investors, maintain fair, efficient and transparent markets, and seek to address systemic risks;

to enhance investor protection and promote investor confidence in the integrity of securities markets, through strengthened information exchange and cooperation in enforcement against misconduct and in supervision of markets and market intermediaries;

to exchange information at both global and regional levels on their respective experiences in order to assist the development of markets, strengthen market infrastructure and implement appropriate regulation;

AND DECIDE, to achieve these objectives, to assemble together in the International Organization of Securities Commissions, governed by the present By-Laws.

Part 1

General Provisions

- 1.1 Securities commissions and similar bodies with responsibility for securities regulation are joined together in the International Organization of Securities Commissions (IOSCO) to better carry out their respective missions through the forum for discussions and cooperation provided by the Organization.
- 1.2 In particular, the objective of the Organization is to enable members to exchange information with a view to:
 - (a) developing securities markets and improving their efficiency;
 - (b) coordinating the enforcement of securities regulation; and
 - (c) implementing common standards.
2. The General Secretariat of the Organization is located in Madrid.

The ordinary member from the jurisdiction in which the General Secretariat is located has an observer status in the IOSCO Board if it is not a member of that Board.

Part 2

Members

3. The Organization consists of the following types of members:
 - (a) ordinary members;
 - (b) associate members; and
 - (c) affiliate members.
4. At the time of the adoption of the By-Laws in 1996, all members of the Organization that were neither affiliate nor associate members became ordinary members of the Organization.
5. The adoption of the By-Laws in 1996 did not change or affect in any way the membership of bodies that were affiliate or associate members.
6. A national securities commission or a similar governmental body with significant authority over securities or derivatives markets is eligible for ordinary membership of the Organization provided it is an MMoU signatory. Where there is no such national authority, provincial authorities with authority over securities or derivatives markets are eligible for ordinary membership provided they are MMoU signatories. Notwithstanding the first sentence of By-law 6 an Ordinary Member will continue to remain an Ordinary Member if it had this status on 18 September 2013 without being signatory to the Multilateral Memorandum of Understanding.
 - 7.1 If there is no governmental regulatory body in a country, a self-regulatory body, such as a stock exchange, from that country is eligible for ordinary membership of the Organization.
 - 7.2 The ordinary membership of the self-regulatory body admitted to the Organization under Section 7.1 lapses if a governmental regulatory body from the same country becomes an ordinary member of the Organization.
 - 8.1 An association that consists of the public regulatory bodies is eligible for associate membership of the Organization.
 - 8.2 The following are eligible for associate membership of the Organization:
 - (a) supranational governmental regulators;
 - (b) subnational governmental regulators where there is a national governmental regulator;
 - (c) intergovernmental international organizations and other international standard-setting bodies;

- (d) other governmental bodies with an appropriate interest in securities regulation; and
- (e) national governmental regulators who are not MMoU signatories and who are not ordinary members.

8.3 *(deleted)*

8.4 *(deleted)*

9.1 The following bodies are eligible for affiliate membership of the Organization.

- (a) self regulatory organizations (SROs);
- (b) securities exchanges;
- (c) financial market infrastructures (including clearing and settlement agencies);
- (d) international bodies other than governmental organizations with an appropriate interest in securities regulation;
- (e) investor protection funds and compensation funds; and
- (f) any other body with an appropriate interest in securities regulation that the IOSCO Board may decide for the purpose of furthering the objectives of the Organization.

9.2 *(deleted)*

10. To become a member of the Organization, a body must apply in writing to the Secretary General. The application must be accompanied by the prescribed membership contribution.

11. If the application is for ordinary membership, it must include:

- (a) a brief description of securities regulation in the applicant's country, including the bodies which exercise regulatory functions with regard to securities in that country;
- (b) a translation of the primary securities legislation of that country in one of the official languages of the Organization;
- (c) a declaration, signed by the president of the applicant, that the body has reviewed and accepts the present By-Laws and Resolutions adopted by the Presidents Committee.

12. If the application is for associate membership, it must include a description of the applicant and its mission.

13. If the application is for affiliate membership, it must:
 - (a) include a description of the applicant and its mission; and
 - (b) be endorsed in writing by the ordinary member, or ordinary members, of the applicant's country (if applicable).
14. A body will become a member if its application is accepted by the IOSCO Board.
- 14.1 Annual membership contributions for the calendar year are required to be paid before 30 June of that year. The annual contribution will be deemed outstanding if the member does not make the payment by that date.
- 14.2 If the annual membership contribution remains outstanding at the end of the calendar year, an interest rate of 5% per annum will be charged in addition to the annual contribution. This interest will be charged from the first day of the following year until the total outstanding balance is settled. The IOSCO Board will have the power to reduce the rate of interest or waive interest payment in exceptional cases, notably those cases beyond the control of the member.

Part 3

Structure of the Organization

15. The Organization is comprised of the following organs:
 - (a) the Presidents Committee;
 - (b) the IOSCO Board;
 - (b) (i) the Growth and Emerging Markets Committee;
 - (c) the General Secretariat;
 - (d) the Regional Committees; and
 - (e) the Consultative Committees.
16. The Presidents Committee is comprised of the presidents of ordinary members, or their agents.
17. The composition of the IOSCO Board shall be such as may be determined by the Presidents Committee and documented by a formal resolution.
18. *(deleted)*
19. *(deleted)*
- 20.1 Each ordinary member is represented at the meetings of the Presidents Committee by the president of the commission or body, or by any other person within the commission or body appointed by them.
- 20.2 The vote of an ordinary member may be exercised only by the person representing that ordinary member.
21. The IOSCO Board appoints the Secretary General for a period of up to three years.
22. A Regional Committee is comprised of members from the same region, being one of the regions recognized by the Presidents Committee under Section 58.
23. A Consultative Committee is comprised of a group of members, designated by the IOSCO Board under Section 65.
24. The members of the Organization meet annually at the Annual Meeting.
25. At an Annual Meeting held in every even-numbered year ("a Biennial Meeting"), the various Committees of the Organization and the IOSCO Board hold elections for their various office-holders.

[25.2 *(to take effect in conjunction with the 2016 Annual Meeting:)*

Notwithstanding Article 25.1, the Growth and Emerging Markets Committee, the Regional Committees and the Affiliate Members Consultative Committee may each hold elections for their office-holders at their last meetings before a Biennial Meeting of the Organization; such an election should normally not be held more than six months before a Biennial Meeting. The term of officeholders elected before a Biennial Meeting in accordance with this Article shall commence at that Biennial Meeting for the two year term defined in Article 37.2.]

[25.3 *(to take effect in conjunction with the 2016 Annual Meeting:)* If an office is

vacated between an election under Article 25.2 and the following Biennial Meeting, the candidate elected under Article 25.2 will complete the remainder of the vacating office-holder's term and then hold the office for the two year term defined in Article 37.2.]

Part 4

Presidents Committee

26. The Presidents Committee has all the powers necessary or convenient to achieve the objectives of the Organization. In particular, the Presidents Committee:
 - (a) examines and approves the Resolutions submitted by the IOSCO Board or by a member;
 - (b) elects ordinary members to the IOSCO Board if required pursuant to Section 17;
 - (c) recognizes Regional Committees;
 - (d) determines the annual contribution of members; and
 - (e) imposes sanctions upon members.
27. Each ordinary member of the Organization is a member of the Presidents Committee and has one vote at meetings of that Committee and any other Committees to which they belong.
- 28.1 In the case of a country where the subdivisions have exclusive jurisdiction over securities, the regulatory bodies of the subdivisions of that country that are ordinary members shall have a maximum of three votes for all the subdivisions together in elections in meetings of the Presidents Committee, IOSCO Board, Growth and Emerging Markets Committee, Regional Committees, and in meetings of any other committee or on any other occasion where elections are held.
- 28.2 In the case of elections pursuant to By-law 28.1 the shared voting arrangements defined in Appendix 4 of the By-laws shall apply.
29. *(deleted)*
30. Associate members may attend and speak at meetings of the Presidents Committee.
- 30.1. Affiliate members may attend the Presidents' Committee meeting to hear detailed reports on the work and key developments of the Organization. Affiliate members are not entitled to vote at the Presidents' Committee meeting
31. Observers and special guests may not attend meetings of the Presidents Committee unless invited by the Chairman with the concurrence of a majority of the members.
- 32.1 The Chairman of the Annual Meeting is the Chairman of the Presidents Committee during the Annual Meeting. At all other times the Chairman of the IOSCO Board is the Chairman of the Presidents Committee.

- 32.2 When an ordinary member hosts the Annual Meeting, the president of that ordinary member is the Annual Meeting Chairman. Otherwise, the IOSCO Board appoints the Annual Meeting Chairman before the meeting.
- 33.1 The Chairman of the Presidents Committee calls the meetings of the Committee.
- 33.2 Deliberations among members of the Presidents Committee conducted by any means of electronic telecommunication are a valid meeting. In principle, decisions of the Presidents Committee outside of the Annual Meetings should be taken only by written procedure. However, where necessary and in exceptional circumstances, decisions could be taken by teleconference. Where necessary, electronic voting procedures may be used for decision making on urgent matters outside of the Annual Meeting.
34. The Chairman chairs the deliberations of the Committee and the Secretary General keeps the Minutes of the meeting.
35. A majority of the ordinary members will constitute a quorum of the Presidents Committee.
- 36.1 Except in extraordinary circumstances, Resolutions on policy matters arising from the work of the Committees of the Organization or the IOSCO Board must be submitted to the Secretary General at least 14 days prior to the first meeting of the Presidents Committee during the Annual Meeting. The Secretary General must then circulate the Resolutions to members of the Committee.
- 36.2 If necessary, Resolutions are put to a vote.
- 36.3 A Resolution to amend the By-Laws must have the support of 2/3 of the members in attendance.
- 36.4 Other Resolutions must have the support of a majority of the members in attendance.

Part 5

IOSCO Board

- 37.1 The IOSCO Board shall be constituted for a period of two years at a meeting held at every Biennial Meeting.
- 37.2 For the purposes of these By-Laws, "two years" means the period between successive Biennial Meetings, even if this period is more or less than 24 months.
38. At a meeting held at each Biennial Meeting after the appointment of a new IOSCO Board, the IOSCO Board Members choose, from among themselves, a Chairman and such a number of Vice-Chairmen as the Board may decide, for a period of two years until the next Biennial Meeting. The Chairman of the Growth and Emerging Markets Committee shall be the IOSCO Board Vice-Chair ex-officio, unless he is the Chairman of the IOSCO Board.
- 39.1 The appointment to the office of Chairman or Vice-Chairman is a personal appointment. If either office is vacated before the next Biennial Meeting, a new election for that office must be held. The term of the substitute office-holder expires at the next Biennial Meeting.
- 39.2 If a person who holds the office of Chairman or Vice-Chairman ceases to hold their office in the body that is a member of the Organization, the IOSCO Board members may choose to elect, from among themselves, a new person to that IOSCO Board office. If a new office-holder is chosen, their term expires at the next Biennial Meeting.
- 40.1 Subject to the By-Laws, the IOSCO Board takes all decisions and undertakes all actions necessary or convenient to achieve the objectives of the Organization.
- 40.2 In particular, the IOSCO Board:
- (a) prepares a program of activities and an annual budget to be approved by the Presidents Committee;
 - (b) acts as liaison among members of the Organization;
 - (c) accepts the admission of new members;
 - (d) appoints the Secretary General;
 - (e) recommends regional groupings of members for recognition by the Presidents Committee as Regional Committees;
 - (f) recognizes Consultative Committees;
 - (g) recommends the Agenda for the Presidents Committee for that Committee's approval;

- (h) recommends to the Presidents Committee the imposition of sanctions upon members; and
 - (i) carries out other duties assigned to it by the Presidents Committee.
- 41.1 The IOSCO Board may make Protocols, not inconsistent with the By-Laws, detailing administrative matters that are necessary or convenient for carrying out or giving effect to the By-Laws.
- 41.2 The Secretary General must circulate copies of the Protocols to all members of the Organization as they are adopted and consolidations of the Protocols as necessary.
42. The Chairman of the IOSCO Board calls and chairs its meetings. If the Chairman is absent, one of the Vice-Chairmen acts in his or her place.
43. The Secretary General keeps the Minutes of the meetings and may also call a meeting of the Committee, in consultation with members of the IOSCO Board.
- 44.1 Half of the members of the IOSCO Board constitutes a quorum.
- 44.2 If necessary, decisions are put to the vote and must have the support of the majority of the members in attendance. In the event of a tie, the Chairman shall have a casting vote.
45. Deliberations among members of the IOSCO Board conducted by any means of electronic telecommunication are a valid meeting.
46. The Chairman reports on the work of the IOSCO Board to the Presidents Committee during each Annual Meeting.
47. The Chairman of the IOSCO Board may ask other persons to attend IOSCO Board meetings.

Part 6

Growth and Emerging Markets Committee

- 48. The Growth and Emerging Markets Committee acts subject to the By-Laws.
- 49. The Growth and Emerging Markets Committee reports to the IOSCO Board.
- 50.1 The Growth and Emerging Markets Committee may adopt its own rules and procedures, providing these are not inconsistent with the By-Laws or Protocols.
- 50.2 Until the Growth and Emerging Markets Committee adopts such measures, it is governed by the By-Laws and Protocols relating to the operations of the IOSCO Board, with such changes as are necessary.
- 50.3 The Secretary General will circulate to all members copies of rules and procedures adopted by the Growth and Emerging Markets Committee as they are adopted and consolidations of those rules and procedures as necessary.

Part 7

General Secretariat

51. The Secretary General administers the General Secretariat. In particular, the Secretary General:
- (a) keeps the records of the Organization;
 - (b) ensures that the By-Laws, Resolutions and Protocols are kept up to date;
 - (c) monitors compliance by members with the By-Laws and Resolutions;
 - (d) examines applications for membership to ensure that they comply with the By-Laws;
 - (e) examines applications for recognition of Regional Committees;
 - (f) assists the IOSCO Board and Committees of the Organization in their functions;
 - (g) represents the Organization in meetings with or presentations to other groups and bodies, subject to the review of the Chairman of the IOSCO Board;
 - (h) prepares the Annual Report of the Organization; and
 - (i) executes all other functions that are assigned to them by the IOSCO Board.
- 52.1 The Secretary General acts in accordance with the decisions of the IOSCO Board and the guidance of the IOSCO Board Chairman as the representative of the IOSCO Board.
- 52.2 The Secretary General may also perform work for the Growth and Emerging Markets Committee. In this case, he acts at the direction of the Chairman of that Committee.
53. The expenses for the operation of the General Secretariat are the responsibility of the Organization.
54. The records of Annual Meetings are to be kept at the offices of the General Secretariat of the Organization.

Part 8

Regional Committees

55. Ordinary members from a region of the world may apply to be recognized as a Regional Committee.
56. Applications for recognition are sent to the Secretary General who examines them and submits them to the IOSCO Board.
57. To be recognized, a Regional Committee must, in the opinion of the IOSCO Board, be representative of its proposed region.
58. The Presidents Committee may, upon the recommendation of the IOSCO Board, approve an application for recognition as a Regional Committee.
59. At the date of the adoption of these By-Laws, the Regional Committees recognized by the Organization are the:
 - (a) Africa / Middle-East;
 - (b) Asia-Pacific;
 - (c) European; and
 - (d) Interamerican;Regional Committees.
60. A Regional Committee:
 - (a) acts as a forum in which members of that region may discuss topics of special interest and consider issues being discussed by the IOSCO Board;
 - (b) coordinates the distribution of information among members of that region;
 - (c) elects ordinary members if required pursuant to Section 17 from among the ordinary members of that region to the IOSCO Board; and
 - (d) carries out such other functions relevant to its region that are not inconsistent with the By-Laws and Protocols.
61. *[in effect until the Annual Meeting 2016:]* At a meeting held at every Biennial Meeting, a Regional Committee will choose, from among its members, a Chairman for a period of two years until the next Biennial Meeting.
- [61. *(to take effect in conjunction with the Annual Meeting 2016:)* At a meeting held at every Biennial Meeting, a Regional Committee will choose, from among its members, a Chairman and a Vice-Chairman for a period of two years until the

next Biennial Meeting.]

62.1 [*in effect until the Annual Meeting 2016:*] Appointments to the office of Chairman are personal appointments. If the office of Chairman is vacated before the next Biennial Meeting, a new election for that office must be held. The term of the substitute office-holder expires at the next Biennial Meeting

[62.1 (*to take effect in conjunction with the Annual Meeting 2016:*) Appointments to the office of Chairman and Vice-Chairman are personal appointments. If either office is vacated before the next Biennial Meeting, a new election for that office must be held. The term of the substitute office-holder expires at the next Biennial Meeting.]

62.2 [*in effect until the Annual Meeting 2016:*] If a person who holds the office of Chairman ceases to hold their office in the body that is a member of the Organization, the Committee members may choose to elect, from among themselves, a new person as Chairman. If a new office- holder is chosen, their term expires at the next Biennial Meeting.

[62.2 (*to take effect in conjunction with the Annual Meeting 2016:*) If a person who holds the office of Chairman or Vice-Chairman ceases to hold their office in the body that is a member of the Organization, the Committee members may choose to elect, from among themselves, a new person to that office. If a new office-holder is chosen, their term expires at the next Biennial Meeting.]

63. The Chairman of a Regional Committee coordinates the response of members of that Committee to issues being discussed by the IOSCO Board and represents that Regional Committee at IOSCO Board meetings.

64. A Regional Committee may determine its own rules and procedures, provided that these are not inconsistent with the By-Laws or Protocols.

Part 9

Consultative Committees

65. The IOSCO Board may establish a Consultative Committee by designating a group of members.
66. At the time of the adoption of the revised By-Laws in 2013, the existing SRO Consultative Committee became the Affiliated Members Consultative Committee.
67. A Consultative Committee acts as a forum in which a group of members may discuss matters of common interest.
68. A meeting of a Consultative Committee is called by the Chairman of that Committee in consultation with the Secretary General and the Chairman of the IOSCO Board.
69. At a meeting held at every Biennial Meeting, a Consultative Committee will choose, from among its members, a Chairman for a period of two years until the next Biennial Meeting.
- 70.1 Appointments to the office of Chairman are personal appointments. If the office of Chairman is vacated before the next Biennial Meeting, a new election for that office must be held. The term of the substitute office-holder expires at the next Biennial Meeting.
- 70.2 If a person who holds the office of Chairman ceases to hold their office in the body that is a member of the Organization, the Committee members may choose to elect, from among themselves, a new person as Chairman. If a new office-holder is chosen, their term expires at the next Biennial Meeting.
71. A Consultative Committee may determine its own rules and procedures, providing that these are not inconsistent with the By-Laws or Protocols.

Part 10

Annual Meetings

72. Members meet every year at the Annual Meeting.
73. The IOSCO Board may make any arrangements necessary or convenient for the holding of an Annual Meeting, including the holding of it in conjunction with a public conference.

Part 11

Official Languages

- 74. The official languages of the Organization are English, French, Portuguese and Spanish.
- 75. The official languages of an Annual Meeting are English, French, Portuguese, Spanish and any other language selected by the host country.
- 76.1 Papers and documents intended to be distributed at an Annual Meeting must be submitted at least in English.
- 76.2 Papers and documents for meetings of the Presidents Committee must be distributed in all the official languages of the Organization.

Part 12

Sanctions

77. The Presidents Committee may, upon the recommendation of the IOSCO Board, impose sanctions upon members for repeated failure to pay contributions.
78. Before the IOSCO Board recommends to the Presidents Committee the imposition of sanctions against a member, the IOSCO Board must give that member:
 - (a) reasonable notice of its intention to recommend the imposition of sanctions; and
 - (b) an opportunity for that member to make representations concerning the intended recommendation.
79. For the purposes of these By-Laws, “sanctions” means:
 - (a) the suspension of a member's voting rights for a period determined by the Presidents Committee;
 - (b) the suspension of a member from membership of the Organization for a period determined by the Presidents Committee; or
 - (c) the exclusion of a member from membership of the Organization.
80. If sanctions are imposed on a member, the Annual Report for that year will record that fact.

Part 13

Annual Report

81. The Secretary General is responsible for the preparation of an Annual Report of the Organization, in consultation with and/or review by any Audit Committee the IOSCO Board may have established and subject to the approval of the Chairman of the IOSCO Board. The Annual Report is prepared for the period ending December 31 and will include accounts for the Organization in respect of that calendar year.

Part 14

Explanatory Memorandum

82. The By-Laws are to be interpreted purposively in light of the Proposal presented to the Presidents Committee at its meeting in 2011 and, to the extent relevant, the Explanatory Memorandum for the reform of the by-laws carried out in 1996.

Part 15

Standard Setting and related activities

83. The standard setting and related activities of the Organization (including any decisions reached or documents issued) are not binding and do not give rise to any legal rights or obligations. Members participate in the Organization in accordance with their respective legal and policy frameworks, which may not be modified or superseded by these By-laws or any decision of the Organization. Member participation in any of the Organization's standard setting or projects, reports, or other activities should not be viewed as an expression of a judgment by any member regarding their current or future regulatory proposals, rulemaking, or standards implementation work or limit their choices regarding proposed or final versions of their rules or standards.

Reformed By-Laws

Explanatory Memorandum

IOSCO has grown considerably, in membership and importance, since its inception in 1983. The Organization now embraces most of the world's capital markets. Further, with the growth in cross-border transactions and the increased integration of global and domestic capital markets, the Organization's role has become even more significant. IOSCO is now the pre-eminent international organization for securities commissions and one of the most important forums for international cooperation among capital market regulators.

Organizational Review

In March 1995, at the Sydney meeting of the IOSCO Executive Committee, the Chairman proposed a review (the Organizational Review) of IOSCO's structure and range of activities. The Review's purpose was to fine-tune IOSCO's structure and activities so that the Organization can more effectively implement its important international objectives. The Review was announced at the Annual Conference in Paris in July 1995, and was subsequently extensively discussed in meetings of the Executive Committee.

Reform of By-Laws

A crucial element of the Organizational Review was to ensure that the rules governing IOSCO's structure and operations, the By-Laws, provided a structure for the Organization that is consistent with its role and operations now and in the future.

To address these issues, the By-Laws were reformed. The Presidents' Committee approved the reform at the 1996 Annual Conference in Montreal. This paper will explain the changes to the By-Laws and their rationale.

Generally

In general, the reform of the By-Laws makes the By-Laws more consistent and provides a more coherent structure for the Organization. To achieve this, the reform has:

- standardized terminology in the By-Laws used to describe the same matter;
- placed rules dealing with similar matters in the same place;

- used similar rules to deal with similar matters; and
- omitted from the By-Law rules dealing with subsidiary matters, leaving them to be dealt with in subsidiary forms of rules, if at all.

The reform has therefore reworded some rules, divided or consolidated others, relocated some rules and omitted some rules entirely. For this reason, the reform differs significantly, in some respects, from previous drafts of the By-Laws.

In other respects, the reform added to the By-Laws. This was done to:

- clarify the By-Laws where they were previously unclear; and
- address issues that enhance the Organization's ability to fulfil its objectives given its expanded membership and enhanced global significance.

The remainder of this note addresses specific matters in the reform of the By-Laws. It only addresses matters of substance and not changes that arose merely from technical drafting changes. The changes are discussed under the headings of the various Parts of the By-Laws.

Preamble

The Preamble to the By-Laws states the Organization's purposes within the context of the international environment in which it operates. The reform of the By-Laws made only minor changes to the Preamble:

- the recitals to the Preamble now highlight the importance to the Organization of achieving decisions through consensus;
- the Resolutions now recognize promoting the systemic stability of markets as an important role of the Organization; and
- the wording of the recitals and Resolutions now recognize the present state of market development, with markets already having been integrated to a large degree.

Part 2 - Members

Previously, Part 2 of the By-Laws:

- included some matters that would be better dealt with elsewhere (e.g. the constitution of the Consultative Committee); and
- did not set out a clear step-by-step process for applying for membership.

Part 2 of the reformed By-Laws clarifies the categories of members of the Organization and the process of applying for membership.

The Part now only deals with matters concerning:

- different categories of membership; and
- the membership application process.

The Part omits references to Charter members (past Section 3). While the status of some members as Charter members reflected the inter-American origins of the Organization, no practical significance attached to this category of membership. Further, growth in the Organization and the international nature of IOSCO meant that some may have seen the recognition of Charter members as inconsistent with the global membership and nature of the Organization. Hence the references to Charter members were omitted from the By-Laws.

Previously, the By-Laws used the term “members” to refer to members that are neither affiliate nor associate members. This made it impossible to refer to members collectively simply as “members”, unnecessarily complicating drafting. Section 3 (a) now refers to members that are neither affiliate nor associate members as “ordinary members”. Ordinary members are the only category of member that are members of, and that may vote at meetings of, the Presidents’ Committee. This is merely a matter of terminology. It serves to readily identify members with full voting and membership rights, while simplifying drafting. The change did not render any substantive change to the By-Laws or to the rights of then existing members.

Section 7.1 permits self-regulatory organizations (SROs) from countries with no governmental securities regulator to become (ordinary) members. Section 7.2 causes the membership of such an SRO member to lapse upon a governmental securities regulator from that country becoming an ordinary member. Of course, such an SRO is free to continue as an affiliate member of the Organization.

Section 8.2 clarifies the requirement that associate members of the Organization must have an appropriate responsibility for securities regulation. That is, a day-to-day responsibility for securities regulation, as a body that administers securities laws. (Similarly, Section 6 makes it clear that an ordinary member must be a securities commission or similar governmental agency, with day-to-day responsibility for securities regulation.)

Derivatives regulators with day-to-day supervisory responsibilities in respect of derivatives markets from countries where the national body is already an ordinary member, are eligible to become associate members of IOSCO.

Section 9.1 makes it clear that affiliate membership is intended to enable SROs or international bodies (e.g. the OECD) with an appropriate interest in securities regulation to participate in the Organization's work.

Section 11 requires that applications for ordinary membership include:

- a translation of the primary securities legislation of that country into one of IOSCO's official languages; and
- a Declaration by the applicant that it agrees to abide by the By-Laws and Resolutions adopted to date.

It disposes of the past requirement that an applicant had to state the dates and cities of the Conferences which they had previously attended (previous Section 6 (2)), as the requirement was unnecessary.

Section 13 (b) recognizes the previously unofficial practice of requiring an application for affiliate membership by an SRO to be endorsed by the ordinary members from the country of the body making the application.

Part 3 - Structure of the Organization

Previously, the By-Laws made little mention of the Technical and Emerging Markets Committees. Section 15 (b) redresses this by recognizing the Committees as organs of the Organization.

The operation of these Committees has granted some flexibility through the provisions in Part 6 (Section 50), which set out minimal rules for the governance of these Committees.

Section 15 (e) explicitly recognizes the role of the Consultative Committees in the Organization and allows for more than one Consultative Committee to be created. For example, it may be thought that there is a need for a Committee which provides a forum for a significant number of members who are not members of the Technical Committee but are not appropriate for membership of the Emerging Markets Committee.

Section 18 alters the composition of the Executive Committee. Previously, the Executive Committee was comprised of between 16 and 18 members:

- a representative of each of the 4 Regional Standing Committees;
- up to 12 elected members; and
- the Chairs of the Technical and Emerging Markets Committees, if they are not otherwise appointed (present Section 10).

Under Section 17, the Executive Committee now consists of 19 members:

- the Chairmen of the Technical, Emerging Markets and Regional Committees; and
- 13 elected ordinary members:
 - 1 elected by each Regional Committee from among the members of that region; and
 - 9 elected by the Presidents' Committee.

This:

- expands the membership of the Executive Committee by 3;
- ensures adequate regional representation; and
- ensures an adequate number of openly elected members, the election being determined by an appropriately wide spread of constituencies.

The composition of the Committee continues the appropriate presence of the Chairmen of the Technical and Emerging Markets Committees. Further, it recognizes the expanded membership of the Organization. With the continued appointment of the Chairmen of the 4 Regional Committees, it enables an appropriate recognition of regional concerns. However, there continue to be enough elected, independent members to accommodate the recognition of other constituencies within IOSCO. These members are elected on the basis of 2 different franchises - 9 members elected by the Presidents' Committee and 1 member elected from amongst the members of each of the 4 Regional Committees.

As the elected members are elected on the basis of both general and regional franchises, it helps to ensure that the final composition of the Executive Committee includes members sympathetic to a wide range of concerns. However, By-Laws do not require that elected members act as representatives of their respective franchises - it is expected that they act independently once on the Committee.

Section 29 is consistent with this objective. By requiring each member of the Presidents' Committee to cast each of its vote under proposed Section 17 (d) for 9 different ordinary members, Section 29 helps to ensure that the ordinary members represent a range of IOSCO constituencies.

Part 4 - Presidents' Committee

Section 21 enables the Executive Committee, rather than the Presidents' Committee (past Section 11), to appoint the Secretary General. It is appropriate that the Executive Committee appoint the Secretary General because of the nature of the office and given that the Secretary General is already responsible to the Executive Committee. It is also practically more convenient than appointment by a plenary body with as many members, and which meets as rarely, as the Presidents' Committee.

Under Section 24, the yearly meeting of members is called the "Annual Meeting". Every Annual Meeting held in an even-numbered year is termed a "Biennial Meeting" (Section 25). At a Biennial Meeting, the various Committees of the Organization elect their various office holders until the next Biennial Meeting. (The use of this title is simply a drafting convenience to save on words when discussing the terms of Committee office holders. It carries no significance other than this.)

Part 10 deals further with the organization of the Annual Meeting. It provides a flexible power to make whatever arrangements are necessary or convenient for an Annual Meeting, including, for example, holding it in conjunction with a public conference.

Section 26 codifies the roles of the Presidents' Committee. The section serve as a useful signpost to the powers and functions of the Committee.

Section 26 (f) recognizes the power of the Presidents' Committee to impose sanctions on members. (This is dealt with in greater detail in Part 2, Sanctions.)

Section 28.2 preserves the effect of past Section 7. That is, the Canadian securities commissions that are members (or "ordinary members") of the Organization continue to have one vote each at Presidents' Committee meetings. However, the Section would achieve this by using references to the voting rights of existing members, rather than by specifically naming Canadian members. This enables the By-Laws to accommodate similar situation arising with other members.

As discussed above, Section 29 makes it clear that voting by Presidents' Committee members for the appointment of the 9 elected members of the Executive Committee is not to be cumulative.

Section 32 makes the Chairman of the Annual Meeting the Chairman of the Presidents' Committee, consistent with the proposed renaming of the yearly meeting of members the "Annual Meeting". In effect, the Chairmanship of the Presidents' Committee is still be able to be shared among members (see Part 10).

Section 33 simplifies the powers of the Chairman of the Presidents' Committee to call meetings of the Committee (past Section 16).

Section 36.1 requires that Resolutions generally be submitted to the Secretary General for circulation to members 14 days in advance of the first Presidents' Committee meeting at an Annual Meeting. This ensures that members receive adequate notice of substantive Resolutions.

Part 5 - Executive Committee

Part 5:

- clarifies some matters relating to the Executive Committee;
- omits some minor rules; and
- provides the Executive Committee with the power to make subsidiary administrative rules that would flesh out rules in the By-Laws.

Section 37 establishes a clear duration for the term of appointment of members of the Executive Committee. Section 38 standardizes the term of the Chair and Vice-Chairman of the Committee consistent with this term.

Section 39 makes it clear that the appointment of the Chairman and Vice-Chairman of the Committee are personal appointments and provides for consequential elections on the vacation of the office. The organizational and leadership abilities that make a person suitable for these offices are specific to that person and not the member organization of which they are president. Consequently, the vacation of either office by the person originally elected warrants a new election.

Section 40 codifies the role of the Executive Committee, providing a comprehensive list of its functions and powers.

Previously, the By-Laws contained some rules (e.g. minor administrative rules, or rules that are so obvious that they go without saying) that were not suited to a basic constitutional document. On the other hand, the By-Laws raised some subsidiary questions of administration and procedure that should be articulated, but were best be dealt with elsewhere.

Now, Section 41 provides for such subsidiary rules, allowing the Executive Committee to make “Protocols” that detail administrative matters that are inappropriate to deal with in the By-Laws themselves. (For example, the election procedure for the Executive Committee, the procedure for the drafting of the Final Communiqué of the Biennial Conference, and perhaps the role of the Secretary General in coordinating a media strategy, might be the subject of Protocols.)

Any Protocol must be consistent with the By-Laws, and circulated to members by the Secretary General. Their status is only that of a Resolution of the Committee.

Section 43 limits the power of the Secretary General to call meetings of the Executive Committee (past Section 28), requiring it to be exercised in consultation with Committee members.

Part 6 - Technical Committee and Emerging Markets Committee

The Technical Committee acts as a forum in which members from larger or more developed jurisdictions may discuss matters of common interest. The Emerging Markets Committee acts as a forum in which members from emerging jurisdictions may discuss matters of common interest.

Previously, the By-Laws only referred once (and in passing) to the Technical and Emerging Markets Committees (past Section 5.1). Section 15 (b) and Part 6 recognize the important role of these Committees in the Organization and provide a framework for their constitution and operation.

Section 49 clarifies the accountability of the Committees, while Section 50 allows for flexibility in their internal working rules.

Part 7 - General Secretariat

The previous rules dealing with the role of the General Secretariat did not fully deal with the duties of the Secretary General. Part 7 of the By-Laws now lists the Secretary General's duties and clarifies to whom the Secretary General reports.

Part 8 - Regional Committees

Section 51 comprehensively lists the duties of the Secretary General.

To assist in ensuring members' adherence to the precepts of the Organization, Section 51 (c) makes the Secretary General responsible for monitoring compliance with the By-Laws and Resolutions.

Section 51 (g) makes the Chairman of the Executive Committee responsible for review of the representational role of the Secretary General, rather than the whole Executive Committee.

Section 52 clarifies to whom the Secretary General reports.

Section 54 makes it clear that the records of the Organization are kept at the General Secretariat.

IOSCO's membership has expanded so that it now covers most of the world's capital markets.

For this reason, Part 8 revises and adds to the previous rules governing Regional Committees (past Sections 37-41).

Firstly, Regional Standing Committees are renamed Regional Committees.

Previously, the process for recognizing a Regional Committee was unclear. Sections 55-58 clarify the process for constituting a Committee.

To permit for future membership growth or political developments, Section 58 allows the existing 4 Regional Committees to be reformed, or supplemented by additional Committees, if the Executive and Presidents' Committees consider this appropriate.

Previously, the grounds for recognizing a Regional Committee (past Section 37) were unclear. Section 57 simplifies the grounds for recognizing a Committee. Section 59 recognizes the 4 existing Regional Committees.

In the past, the By-Laws did not clearly articulate a role for the Regional Committees. Commensurate with their importance to the Organization, Section 60 delineates a clear role for the Committees and yet grants flexibility by allowing new roles to be accorded them as developments dictate. In particular, Section 60 (a) clarifies the role of Regional Committees in acting as forums in which issues before the Executive Committee are discussed on a regional basis.

Sections 61 and 63 standardize the term and the nature of the appointment of the Chairman of any Regional Committee with those of the Chairmen of the Executive Committee, Technical and Emerging Markets Committees and any Consultative Committee.

Consistent with Section 62 (a), Section 63 clarifies the role of Regional Committee Chairmen in coordinating the response of their respective Committees to the Executive Committee and representing their Regional Committees at Executive Committee meetings.

Section 64 provides a degree of flexibility to a Committee to order its own affairs consistently with the By-Laws, as the reformed By-Laws do for other Committees.

The Part omits the rule in past Section 41, which provided that a Regional Committee report to the Annual Conference, as it seemed unnecessary.

Part 9 - Consultative Committees

Self-regulatory organizations and other bodies, including international bodies, perform an important role in the Organization as affiliate or associate members. To recognize the importance of the dialogue between securities regulators, SROs and other bodies in regulating international capital markets, Part 9 formally recognizes the existing Consultative Committee as an integral element of the Organization.

Part 9 provides official recognition to the role of associate and affiliate members, building on past Section 5.1. The Part also provides for flexibility in the composition of Consultative Groups, providing members with a common interest with a forum for discussions regardless of their status. To this end, Section 65 enables the Executive Committee to establish a Consultative Committee. To avoid confusion, Section 66 names the existing Consultative Committee the “SRO Consultative Committee”. Under Section 67, Consultative Committee may comprise any combination of members with an interest in discussing matters of mutual concern.

For example, a Consultative Committee could be formed comprising ordinary and associate members from smaller, developed jurisdictions. Some of these members are presently members of neither the Technical nor Emerging Markets Committees or are members of the Emerging Markets Committee, but their concerns would be more closely allied with members of the Technical Committee. Giving these members a specific Consultative Committee could allow them to represent their particular interests and contribute to IOSCO in a more meaningful way.

The Organization retains some control over the work program of a Consultative Committee by being able to constitute it (Section 65) and by being consulted about the convening of Committee meetings (Section 68).

Sections 69 and 70 standardize the term and the nature of the appointment of the Chairman of any Consultative Committee with those of the Chairmen of the other Committees established by the By-Laws.

Section 71 provides a degree of flexibility to a Committee to order its own affairs consistently with the By-Laws, as the reform does for other Committees.

Part 10 - Annual Meetings The Organization previously met every year at a public Annual Conference. The Conference functioned as the Annual Meeting for the Organization, at which important administrative and policy matters are discussed. It provided a significant public profile for the Organization. While the Annual Conference was a source of revenue for the Organization, it was also a considerable cost. Further, it was a considerable administrative burden for the host member.

Part 10 frees up the form of the Annual Meeting of the Organization's members.

It permits an Annual Meeting of members to be held at which policy and administrative matters are discussed (Section 72). This Annual Meeting reduces costs for the Organization, as it may be a short, focused, members-only gathering.

However, members are free to propose any arrangements they wish for the holding of an Annual Meeting. If the Executive Committee accepts any such proposal, the Annual Meeting for a given year may take any form the Executive Committee considers appropriate, having regard to the current events, member and public interest and costs (Section 73).

For example, if members desired, an Annual Meeting could be convened in Montreal, making greater use of the resources of the General Secretariat and the considerable convention facilities of Montreal, reducing costs. Alternatively, an Annual Meeting could be held in conjunction with a public conference, or even held jointly with the annual meeting of another body, such as the FIBV.

To provide a framework in which proposals for the holding of an Annual Meeting could be made, the Executive Committee will promulgate a Protocol concerning Annual Meetings.

Part 12 - Sanctions

The Part introduces sanctions to deal with members who persistently fail to pay membership dues.

The history of the Organization is that it is essentially a member-driven body, which derives its strength from the voluntary devotion of the members to matters of common concern. While this has served the Organization well till now, it was thought that the Organization had developed to a stage that consensus and voluntary adherence to Organization decisions may no longer work as well as they have in the past. The size and importance of the Organization is such that it is now inappropriate that members are free to persistently fail to pay membership contributions.

It is believed that the new sanction mechanism will strike the balance between consensus and a firm adherence to the principles of the Organization.

Section 77 enables the Presidents' Committee, upon the recommendation of the Executive Committee, to impose sanctions upon members that repeatedly fail to pay membership contributions. Before recommending the imposition of sanctions, the Executive Committee must give notice to a defaulting member. That member then has an opportunity to put their case. Sanctions range from suspension of membership or voting rights for a period to, in the most serious of cases, exclusion from membership.

Because:

- sanctions can only be imposed for repeated failure to pay membership contributions;
- a member is accorded procedural fairness; and
- the imposition of sanctions requires the approval of the Executive Committee and the Presidents' Committee,

sanctions can only be imposed in serious cases, after due consideration and with the support of a wide range of members.

The sanction mechanism appropriately balances the maintenance of a voluntary, consensus based organization, with one in which the members meaningful contribute to its finances.

Section 80 requires that the imposition of sanctions on a member be publicized in the Annual Report.

Part 13 - Annual Report

The proposed Section 81 makes it clear that the accounts to be included in the Annual Report are to be aligned with the calendar year in respect of which the Report is produced.

**Part 14 - Explanatory
Memorandum**

Part 14 of the By-Laws ensures that the By-Laws are interpreted purposively, in light of this Memorandum.

Proposal to the Presidents Committee



Date: 31 March 2011

To: Presidents Committee

From: Executive Committee Chairman and Secretary General

Agenda Item: 3c

Subject: Proposal for a new Committee Structure for IOSCO and potential Amendment to the IOSCO By-Laws

Background

An Executive Committee Task Force on the Review of IOSCO's Strategic Direction (TFSD) was set up in 2009 to review the organisation's strategic direction, its capacity to achieve it and to provide any related recommendations to the Executive Committee.

The Executive Committee agreed and communicated from an early stage to the general membership that it would take a two-stage approach to the strategic review. The first stage settled the substance of the overall Strategic Direction as endorsed last year. The second stage was to consider how this should be implemented in detail. Consultation of members on a new Committee Structure started in August 2010 and has continued through discussions at various meetings.

This was discussed at the meetings of various committees and culminated in a decision of the Executive Committee at its meeting of January 2011 to present the resulting proposal for establishing a single IOSCO Board for endorsement by the Presidents Committee.

Introduction

IOSCO has been actively engaged in an intensive exercise to review its Strategic Direction in the context of the change in the financial regulatory landscape following the crisis. Members have expressed a strong desire to scale up IOSCO's activities, especially in the areas of implementation, standard setting, research and addressing systemic risk issues. At the Presidents Committee meeting in June 2010 in Montreal, members adopted a resolution setting out IOSCO's new mission and strategic goals for 2010 to 2015 and a resolution on the IOSCO Multilateral Memorandum of Understanding Concerning Consultation and Cooperation and the Exchange of Information (IOSCO MOU).

IOSCO's new strategic direction involves new activities, such as building an independent IOSCO research capacity, and the intensification of carefully selected

Proposal to the Presidents Committee



activities such as building upon the successful IOSCO MOU and the acceleration of the assessment program of IOSCO's Objectives and Principles.

Through the consultation on Internal Consultation Paper VII on Proposed New Committee Structure of IOSCO, members expressed broad support for a proposed new committee structure of IOSCO¹.

The consensus of the members is that it is important and urgent for IOSCO to revise its committee structure to have a single IOSCO governing committee, to be called the IOSCO Board which will merge the functions of the Executive Committee, Technical Committee and the Emerging Markets Committee Advisory Board. The new committee structure will allow the IOSCO Board to be better aligned with IOSCO's three key functions: Policy and Standard Setting; Regulatory Capacity Building and Market Development; and Coordination, Research and Outreach. It is also considered prudent to have a transition period from 2012 to 2014 to make the necessary arrangements for determination of the composition of the final IOSCO Board, which is expected to be accomplished in 2014.

Proposal to the Presidents Committee: creation of an IOSCO Board

The Executive Committee proposes the creation of a new single committee for IOSCO that sets the strategy, takes decisions on IOSCO's key activities and represents IOSCO to the outside world. This single committee will have the name "**IOSCO BOARD**". The IOSCO Board will subsume the functions of the current Technical Committee, Executive Committee and Emerging Markets Committee Advisory Board (EMCAB).

There are three main reasons for the proposal of a new structure. The Executive Committee believes that the quality and timeliness of IOSCO's standard setting work and the implementation of these standards globally can be improved by rationalizing IOSCO's structure in such a way that it can focus more on its key functions. Secondly, as the securities markets we regulate, and the participants in them, are increasingly interlinked and securities regulators across the globe share common problems, it is important to establish an effective IOSCO-wide governance body for all of IOSCO's core functions while retaining the capacity to respond to tailored capacity building needs of emerging markets. The third reason is that there is an increasing need for IOSCO to contribute with a clear and coherent voice in global discussions within the G20, the Financial Stability Board (FSB), and with the international financial institutions (IFIs). These reasons suggest that the current structure, which is built on a distinction between the interests of members in developed markets (represented by the Technical Committee) and emerging markets (represented by the Emerging Markets Committee), is no longer structurally sound.

¹ Details of the comments made on Consultation Paper VII and responses to them are contained in the Summary of Comments on Consultation Paper VII posted on the IOSCO Members' Forum.

Proposal to the Presidents Committee



The final constitution of the IOSCO Board is expected to be determined by the Presidents Committee in 2014. As mentioned above, it is proposed to have a transition period from 2012 to 2014. The constitution of the IOSCO Board during this transition period will be as follows:

- It will include the existing Technical Committee members (18 members);
- It will include the Chair and the Vice-Chair of the Emerging Markets Committee (EMC) , elected on the occasion of the 2012 annual meeting; and
- It will include the Chairs of the four Regional Committees plus two extra members from each region elected on the occasion of the 2012 annual meeting.

The transitional IOSCO Board will have a total of 32 members. If the Chairman of a Regional Committee is a member of the existing Technical Committee, that Regional Committee will be entitled to elect one more ordinary member to the transitional IOSCO Board in addition to the 2 ordinary members elected by it.

A necessary consequence of having an even number of members at the IOSCO Board is for having a mechanism to break a tie. It is therefore proposed that the Chairman of the IOSCO Board should have a casting vote in the event of a tie. However, the intent of the membership is to maintain IOSCO's consensus approach whenever possible and therefore the Board should try to avoid situations where the Chairman is forced to break a tie.

The Technical and Executive Committees will cease to exist on the constitution of the transitional IOSCO Board. With the inclusion in the IOSCO Board of the EMC Chair and Vice Chair and representatives from the Regional Committees, and with the merger of the functions of the EMCAB into the new IOSCO Board, the interests of members from the emerging markets will be represented in the main decisions of the organization. However, the EMC will continue to exist so as to focus on, among other issues, giving input to the IOSCO Board on the market development and regulatory capacity building function of IOSCO. This is because there is a difference in capacities and the specific development needs of emerging and developed markets. The different levels of development within the EMC's membership will also be taken into account by the EMC when defining its work program and priorities. Further, the Executive Committee envisages continuing to use EMC Conferences, in addition to the annual conferences, to facilitate contact with the EMC membership, updating them on recent regulatory developments, and eliciting their development needs.

During the transition period consideration will be given to what objective measures might better be used to determine the participation in the IOSCO Board of the members which regulate the largest capital markets, such as GDP or a basket of market-based indicators (e.g. market capitalisation, derivatives turnover, size of bond market); and

Proposal to the Presidents Committee



whether the constitution of the IOSCO Committee permits adequate contribution from the whole membership, including emerging markets.

As mentioned above, during the transition period the IOSCO Board will have 32 members. This is a substantial increase in the size of the current Technical Committee, Executive Committee or Emerging Markets Committee Advisory Board, and therefore will enable the participation of a larger number of members. However, the size of the IOSCO Board should ultimately be reduced to not more than 30 members in order for it to operate efficiently.

The transitional IOSCO Board will consider these issues during the transition period and revert to the Presidents Committee with a proposal for the ongoing constitution of the IOSCO Board, taking into account these considerations.

Draft Resolutions

Two resolutions have been prepared to give effect to the Executive Committee proposal. The first resolution, at Annex-1, makes changes to the by-laws. It:

- Deletes references to the Executive Committee and Technical Committee, and replaces them with references to the IOSCO Board;
- Deletes Sections 17, 18 and 19 which dealt with the constitution of the Executive Committee, and replaces them with a section (new Section 17) which specifies that the composition of the IOSCO Board will be determined by a formal resolution of the Presidents Committee;
- Deletes former Section 29 which provides for the voting system for the present Executive Committee;
- Amends Section 44.2 to provide for a casting vote in the event of a tie, which is necessary because the transitional IOSCO Board will have an even number of members;
- Amends Section 54 to replace the term “General Assemblies” which is not elsewhere used in the By-laws, with the term “Annual Meetings”, which means the same thing and is the term used in Part 4 of the By-laws;
- Amends Section 81 to refer to the role of any Audit Committee created by the IOSCO Board;
- Amends Section 82 to enable this proposal to be used as explanatory material to assist interpretation of the By-laws;
- Makes minor amendments to other Sections to recognize the continuing effect of By-law changes made in 1996.

The second resolution, at Annex 2, establishes the transitional arrangements for the IOSCO Board until the final constitution of the IOSCO Board is determined. This resolution carries into effect the present proposal, as authorised by proposed Section 17 of the By-laws.

Proposal to the Presidents Committee



Dates of effect:

The amendments to the by-laws will take effect at the annual meeting in 2012. The draft resolution at Annex-1 also provides for taking any steps that may be needed before the Annual Meeting in 2012 so that the changes in by-laws can be given effect to at the 2012 Annual Meeting. Such steps may include seeking nominations for elections by the Regional Committees/EMC to the IOSCO Board, other logistical issues relating to the conduct of the 2012 Annual Meeting which will include meeting(s) of the transitional IOSCO Board and similar steps. Therefore the Resolution at Annex 1 itself will come into effect immediately after it is passed by the Presidents Committee in April 2011.

Similarly, the Resolution at Annex 2 will come into effect immediately after it is passed by the Presidents Committee in April 2011 as that resolution also provides for taking any steps that may be needed to be taken before the Annual Meeting in 2012 for establishing the transitional IOSCO Board in 2012. However, the transitional IOSCO Board will come into effect at the Annual meeting in 2012 after it is constituted following the designation of representatives to that Board from the EMC and Regional Committees.

A consequence of creating the transitional IOSCO Board at the Annual Meeting in 2012 will be that the Executive and Technical Committees will not elect their office-holders (i.e. their Chairman and Vice-Chairman) as stipulated by Section 25 of the By-laws since these Committees will cease to exist at that Annual Meeting following the constitution of the transitional IOSCO Board.

Recommendation to the Presidents Committee

- The Executive Committee recommends that the Presidents Committee **endorses the proposed new structure of IOSCO set out herein and adopts the attached Resolution at Annex 1 approving the by-law changes to create a single IOSCO Board and make related changes in IOSCO's governance structure in 2014.**
- The Executive Committee also recommends that the Presidents Committee **endorses the attached Resolution at Annex 2 reflecting the transitional arrangements for the IOSCO Board to be constituted at the Annual Meeting in 2012.**

Procedure with regard to Resolutions and Amendment to the By-Laws:

Section 35 of the By-Laws stipulates that a majority of the ordinary members attending the Annual Conference constitute a quorum of the Presidents Committee.

Section 36.1 states that:

Proposal to the Presidents Committee



“36.1 Except in extraordinary circumstances, Resolutions on policy matters arising from the work of the Committees of the Organization must be submitted to the Secretary General at least 14 days prior to the first meeting of the Presidents Committee during the Annual Meeting. The Secretary General must then circulate the Resolutions to members of the Committee².”

Section 36.3 stipulates that any amendment to the By-Laws must have the support of 2/3 of the members in attendance.

Section 36.4 of the By-Laws stipulates that any resolution of the Presidents Committee, other than an IOSCO By-Law amendment, must have the support of the majority of the voting members in attendance.

² Presidents Committee

Appendix 4 – Voting arrangements under By-law 28.1 and 28.2

Member	Votes
United Kingdom - Financial Conduct Authority	1 Vote of 3 Shared
Gibraltar - Financial Services Commission	
Guernsey - Guernsey Financial Services Commission	
Isle of Man - Financial Supervision Commission	
Jersey - Jersey Financial Services Commission	
British Virgin Islands - British Virgin Islands Financial Services Commission	1 Vote of 3 Shared
Cayman Islands - Cayman Islands Monetary Authority	
Alberta - Alberta Securities Commission	3 Votes Shared
British Columbia - British Columbia Securities Commission	
Ontario - Ontario Securities Commission	
Québec - Autorité des Marchés Financiers	